CASCADIA ANALYTICS

# Boston Scientific Corporation

Equity Research Note | BSX | 21 OCTOBER 2026

## Medtech Cash Compounder

Boston Scientific screens as a Buy with a $76.46 blended target, 68% above the current price.

**Analyst: Justin Wen**

| REFERENCE PRICE | BLENDED TARGET | BLENDED UPSIDE | |
|---|---|---|---|
| $45.58 | $76.46 | +68% | BUY |

### Investment Thesis

Medtech Cash Compounder. Cardiovascular device leader with 69% gross margins, op margins expanding from 16.0% to 19.8% (FY22-25), ROE 19.3% and D/E of 0.43. Scale, IP and physician relationships form a genuine moat [10-K]. Air Pocket, Not a Broken Model. Q2 delivered 7% organic growth and a 15% EPS beat [10-Q Q2 '26]. H2 pressure comes from WATCHMAN and EP share losses plus a September cyber incident, forcing an FY26 guide cut to 5-6% organic [8-K]. Painful but identifiable. +62% Upside With a Trigger. At $45.58

- Medtech Cash Compounder
- Air Pocket, Not a Broken Model
- +62% Upside With a Trigger

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## The latest print

**Air Pocket, Not a Broken Model.** Q2 delivered 7% organic growth and a 15% EPS beat. H2 pressure comes from WATCHMAN and EP share losses plus a September cyber incident, forcing an FY26 guide cut to 5-6% organic. Painful but identifiable.

**+62% Upside With a Trigger.** At $45.58, DCF base $73.65 implies +62% upside and the reverse DCF prices -0.4% CAGR, below the 3% bear case. The Oct 28 Q3 reset is the clearing event that can rerate the name.

| $5.44B | $0.86 | 28.4% | 5-6% organic, $3.28-3.32 EPS | 3-5% organic, $0.80-0.82 EPS |
|---|---|---|---|---|
| REVENUE (Q2 '26) | ADJ EPS (Q2 '26) | ADJ OP MARGIN (Q2 '26) | FY2026 GUIDE (CUT) | Q3 '26 GUIDE |

## Key metrics in detail

| METRIC | LATEST | VS YEAR AGO | TREND |
|---|---|---|---|
| **Revenue (Q2 '26)** | $5.44B | +7.5% (7% organic) | Up |
| **Adj EPS (Q2 '26)** | $0.86 | +15% (beat $0.83 cons) | Up |
| **Adj Op Margin (Q2 '26)** | 28.4% | +120 bps | Up |
| **FY2026 Guide (cut)** | 5-6% organic, $3.28-3.32 EPS | Cut from prior plan | Down |
| **Q3 '26 Guide** | 3-5% organic, $0.80-0.82 EPS | Below consensus $0.83-0.84 | Down |
| **Sep 8 Disclosure** | Cyber incident | Q3 and FY guide unlikely met | Down |
| **Net Margin (TTM)** | 17.5% | +6 pts | Up |
| **Consensus Price Target** | $68.60 | Moderate Buy | Down |

## The moat

Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026

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## The growth engine

New COO (Joseph Fitzgerald) and 3-segment structure effective Jan 1, 2027 to speed decisions and improve capital allocation

## Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

| SCENARIO | WEIGHT | 2027-36 CAGR | 2036 REVENUE | 2036 EBIT MARGIN | TARGET | UPSIDE |
|---|---|---|---|---|---|---|
| **Bear** | 25% | 3.0% | $29.16B | 19.9% | **$52.51** | +15% |
| **Base** | 50% | 5.0% | $35.35B | 23.1% | **$73.65** | +62% |
| **Bull** | 25% | 7.0% | $42.69B | 27.4% | **$106.02** | +133% |

**Bear:** downside case at $52.51 (+15%).

**Base:** central case at $73.65 (+62%).

**Bull:** upside case at $106.02 (+133%).

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# The probability-blended target implies 68% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +68% from the $45.58 reference price.

**$76.46**
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

| | |
|---|---|
| Revenue base (2026E) | **$21.70B** |
| Valuation horizon | **2027-2036** |
| Live WACC | **7.32%** |
| Terminal growth | **2.0%** |
| Net debt | **$10.36B** |
| 2036 FCF (Base) | **$7.78B** |
| 10-year Treasury yield | **5.1%** |
| Beta | **0.60** |
| Equity risk premium | **3.7%** |

**BUY | $76.46 BLENDED TARGET | WEN**

## The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is -0.5%. below Bear case (3%) , pessimistic

## Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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| CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price |
|---|---|---|---|---|---|---|---|---|
| -10% | $36.3B | $17.58 | +10% | $172.0B | $109.57 | +30% | $781.5B | $522.79 |
| -9% | $39.1B | $19.48 | +11% | $186.0B | $119.07 | +31% | $839.8B | $562.36 |
| -8% | $42.1B | $21.55 | +12% | $201.1B | $129.33 | +32% | $902.2B | $604.64 |
| -7% | $45.5B | $23.80 | +13% | $217.4B | $140.39 | +33% | $968.8B | $649.82 |
| -6% | $49.1B | $26.24 | +14% | $235.0B | $152.30 | +34% | $1040.0B | $698.05 |
| -5% | $53.0B | $28.90 | +15% | $253.9B | $165.14 | +35% | $1115.9B | $749.53 |
| -4% | $57.2B | $31.78 | +16% | $274.3B | $178.96 | +36% | $1196.9B | $804.45 |
| -3% | $61.9B | $34.91 | +17% | $296.3B | $193.84 | +37% | $1283.3B | $863.02 |
| -2% | $66.9B | $38.31 | +18% | $319.9B | $209.84 | +38% | $1375.4B | $925.44 |
| -1% | $72.3B | $42.00 | +19% | $345.3B | $227.05 | +39% | $1473.5B | $991.96 |
| **+0%** | **$78.2B** | **$46.00** | +20% | $372.5B | $245.54 | +40% | $1578.0B | $1,062.80 |
| +1% | $84.6B | $50.34 | +21% | $401.8B | $265.39 | +41% | $1689.2B | $1,138.22 |
| +2% | $91.5B | $55.04 | +22% | $433.3B | $286.72 | +42% | $1807.6B | $1,218.49 |
| +3% | $99.1B | $60.13 | +23% | $467.0B | $309.60 | +43% | $1933.6B | $1,303.87 |
| +4% | $107.2B | $65.65 | +24% | $503.2B | $334.14 | +44% | $2067.5B | $1,394.66 |
| +5% | $116.0B | $71.62 | +25% | $542.0B | $360.45 | +45% | $2209.8B | $1,491.17 |
| +6% | $125.5B | $78.07 | +26% | $583.6B | $388.65 | +46% | $2361.1B | $1,593.71 |
| +7% | $135.8B | $85.06 | +27% | $628.2B | $418.85 | +47% | $2521.7B | $1,702.62 |
| +8% | $147.0B | $92.61 | +28% | $675.8B | $451.18 | +48% | $2692.3B | $1,818.25 |
| +9% | $159.0B | $100.76 | +29% | $726.9B | $485.78 | | | |

## Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

| SCENARIO | ENTERPRISE VALUE | EXIT EV/ FCF | TERMINAL GROWTH | PLUS: NET CASH | EQUITY VALUE | TARGET |
|---|---|---|---|---|---|---|
| **Bear** | $87.77B | 18.0x | 2.0% | -$10.36B | $77.41B | **$52.51** |
| **Base** | $118.93B | 22.0x | 2.0% | -$10.36B | $108.57B | **$73.65** |
| **Bull** | $166.66B | 26.0x | 2.0% | -$10.36B | $156.30B | **$106.02** |

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## Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

| SCENARIO | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 | 2032 | 2033 | 203 |
|---|---|---|---|---|---|---|---|---|---|
| **Bear** | $52.51 | $56.35 | $57.32 | $58.25 | $59.15 | $59.99 | $60.78 | $61.51 | $62.1 |
| **Base** | $73.65 | $79.04 | $81.58 | $84.09 | $86.57 | $88.99 | $91.35 | $93.61 | $95.7 |
| **Bull** | $106.02 | $113.78 | $118.75 | $123.75 | $128.75 | $133.72 | $138.61 | $143.39 | $147.9 |

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $76.46 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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# The franchise deep dive

Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026

New COO (Joseph Fitzgerald) and 3-segment structure effective Jan 1, 2027 to speed decisions and improve capital allocation

69% gross margins and 28.4% adjusted operating margins funding the pipeline and debt paydown

## Revenue and margin trend

| METRIC | 2022 | 2023 | 2024 | 2025 | TTM |
|---|---|---|---|---|---|
| **Revenue** | $12.68B | $14.24B | $16.75B | $20.07B | $21.00B |
| **Gross Margin** | 68.8% | 69.5% | 68.6% | 69.0% | 69.2% |
| **Op Margin** | 16.0% | 17.0% | 17.9% | 19.8% | 22.9% |

## Valuation cross-check

Fwd P/E 13.1x

DCF Base $73.65

PEG ~1.0

+62% upside to the base case. A PEG near 1.0 is rare for a consistent double-digit EPS grower, though the cyber overhang earns the discount.

Large-cap device peers trade at higher multiples

BSX screens cheap versus medtech peers despite a historically superior organic growth profile. The discount reflects near-term uncertainty, not structural decline.

Near 52w low $41.38 vs high $105.65

Trading roughly 60% below its 52-week high after the guidance cut and cyber disclosure, at the low end of its historical multiple range.

## What to monitor

**28-Oct-2026.** Q3 2026 Earnings + Revised Outlook (Two-Sided): Sep 8 statement says Q3 and FY guidance are unlikely to be met after the cyber incident. The reset print sets the new baseline.

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**Jan 2027.** New COO + 3-Segment Structure (Positive): Joseph Fitzgerald takes over as COO; Interventional Therapies, Rhythm Solutions and MedSurg segments begin, designed to speed decisions.

**2027.** Pipeline Acceleration (Positive): Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026; product cycles need to offset WATCHMAN/EP pressure.

## Financial summary: income statement

| YEAR | REVENUE | GROSS PROFIT | OPERATING INCOME | EBITDA |
|---|---|---|---|---|
| **2022** | $12.7B | $8.7B | $2.0B | $2.7B |
| **2023** | $14.2B | $9.9B | $2.4B | $3.4B |
| **2024** | $16.7B | $11.5B | $3.0B | $3.9B |
| **2025** | $20.1B | $13.9B | $4.0B | $5.1B |

## Balance sheet

| YEAR | TOTAL ASSETS | TOTAL LIABILITIES | TOTAL EQUITY | CASH |
|---|---|---|---|---|
| **2022** | $32.5B | $14.9B | $17.6B | $928M |
| **2023** | $35.1B | $15.6B | $19.3B | $865M |
| **2024** | $39.4B | $17.4B | $21.8B | $414M |
| **2025** | $43.7B | $19.2B | $24.2B | $2.0B |

## Cash flow

| YEAR | OPERATING CF | CAPEX | FINANCING CF | FREE CF |
|---|---|---|---|---|
| **2022** | $1.5B | $-612M | $-548M | $914M |
| **2023** | $2.5B | $-800M | $5M | $1.7B |
| **2024** | $3.4B | $-1.1B | $1.8B | $2.4B |
| **2025** | $4.5B | $-1.1B | $-395M | $3.4B |

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# Agency risk score 44 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.25% of shares outstanding. Form 4 filings over the trailing six months show $10.04M of open-market purchases against $0 of sales, a net flow of $10.04M. One-year total shareholder return is -56.1% against CEO total pay of $5.73M (Mr. Michael F. Mahoney), which the model scores as SUB-OPTIMAL ALIGNMENT.

**44**
AGENCY RISK SCORE, OF 100

## The three components

| COMPONENT | SCORE | WHAT THE SITE SHOWS |
|---|---|---|
| **Insider Ownership (Skin in the Game)** | 2 / 40 | 0.25% of shares held by insiders |
| **Form 4 Flow (Conviction Flow)** | 30 / 30 | Buys $10.04M (8) vs sales $0 (0), net $10.04M, trailing six months |
| **Pay-for-Performance** | 12 / 30 | SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -56.1%; Mr. Michael F. Mahoney, Chairman, President & CEO, total pay $5.73M |
| **Agency Risk Score** | **44 / 100** | Regime: HIGH AGENCY RISK // VALUE TRAP |

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## Recent Form 4 filings

| DATE | FILER | RELATION | TYPE | SHARES | VALUE |
|---|---|---|---|---|---|
| **2026-08-25** | Morano Susan E. | Director | BUY | 2,040 | $100.4K |
| **2026-08-05** | Habiger David C | Director | BUY | 2,100 | $99.9K |
| **2026-08-04** | Habiger David C | Director | BUY | 1,182 | $56.9K |
| **2026-08-03** | Mahoney Michael F | Chief Executive Officer | BUY | 186,240 | $9.00M |
| **2026-07-31** | Ludwig Edward J. | Director | BUY | 5,000 | $227.4K |
| **2026-05-20** | Ludwig Edward J. | Director | BUY | 3,580 | $202.9K |
| **2026-05-20** | Habiger David C | Director | BUY | 4,450 | $251.1K |
| **2026-05-20** | Pegus Cheryl | Director | BUY | 1,770 | $100.0K |

## SEC proxy audit, DEF 14A filed 2026-03-18

**Alignment grade C.** COMPENSATION DATA NOT PROVIDED. Michael F. Mahoney, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

| BASE SALARY | STOCK AWARDS | NON-EQUITY INCENTIVE | OTHER COMPENSATION |
|---|---|---|---|
| **N/A** | N/A | N/A | N/A |

The provided proxy excerpt contains only introductory voting items and initial director nominees (pages 1–13), omitting the Executive Compensation section that begins on page 76. Without the Summary Compensation Table and CD&A disclosures, specific compensation shifts, annual bonus determinations, and TSR linkages cannot be audited from this excerpt. Access to the full DEF 14A filing is required to quantify executive pay alignment.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/885725/000088572526000025/bsx-20260318.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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## The bear case

### Cyber Incident Overhang

September 8 statement says Q3 and full-year guidance are unlikely to be met after the incident; the extent of operational impact is unknown until the October 28 revision.

### WATCHMAN Structural Decline

The US WATCHMAN market slowed sharply and unexpectedly on compounding clinical evidence, shifting referral patterns. This was a core growth driver and may be structural, not cyclical.

### EP Competitive Share Loss

Management did not anticipate the degree of competitive share movement in US electrophysiology. Share recapture is uncertain and expensive.

## The strengths

### Operating Quality

Cardiovascular device leader with 69% gross margins, op margins expanding 16.0% to 19.8% (FY22-25), ROE 19.3%, and conservative leverage (D/E 0.43). Scale, IP and physician relationships are a real moat.

### Recent Trend

Revenue grew 12.7B to 20.1B (FY22-25) but H1 2026 organic was 7% and H2 is pressured: WATCHMAN slowed sharply, EP lost US share, and management cut FY26 organic guidance to 5-6%. Trend is bending, not breaking.

### Forward Growth

New COO and 3-segment structure in Jan 2027, plus double-digit growth in IC/ neuromodulation/oncology, support recovery. But WATCHMAN structural slowdown, EP competition and the cyber disruption cap near-term visibility.

### Valuation

DCF base $73.65 vs spot $45.58 implies +62% upside. Forward P/E 13.1x with PEG near 1.0 is cheap vs device peers and vs own history (near 52w low). Reverse DCF implies -0.4% CAGR, well below the 3% bear case.

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## Cascadia scorecard

**Composite score 65: Attractive.** Confidence High, as of 17-Oct-2026.

| PILLAR | RATIONALE | SCORE |
|---|---|---|
| **Operating Quality** | Cardiovascular device leader with 69% gross margins, op margins expanding 16.0% to 19.8% (FY22-25), ROE 19.3%, and conservative leverage (D/E 0.43). Scale, IP and physician relationships are a real moat. | 80 |
| **Recent Trend** | Revenue grew 12.7B to 20.1B (FY22-25) but H1 2026 organic was 7% and H2 is pressured: WATCHMAN slowed sharply, EP lost US share, and management cut FY26 organic guidance to 5-6%. Trend is bending, not breaking. | 55 |
| **Forward Growth** | New COO and 3-segment structure in Jan 2027, plus double-digit growth in IC/neuromodulation/oncology, support recovery. But WATCHMAN structural slowdown, EP competition and the cyber disruption cap near-term visibility. | 55 |
| **Valuation** | DCF base $73.65 vs spot $45.58 implies +62% upside. Forward P/E 13.1x with PEG near 1.0 is cheap vs device peers and vs own history (near 52w low). Reverse DCF implies -0.4% CAGR, well below the 3% bear case. | 76 |
| **Catalysts & Risk** | Oct 28 Q3 print with the revised outlook is the clearing event. Management change and pipeline cycles are positives, but the cyber incident extent is unknown and guidance credibility is damaged. Skew is balanced near term. | 55 |

## Investment view

The Oct 28 Q3 print plus revised outlook is the swing factor: if the cyber impact is contained and the new baseline is credible, Valuation and Trend rerate quickly. Another cut would drop Forward Growth and jeopardize the Buy rating.

**Investment view: Buy. The $76.46 blended target implies +68%, balancing the $52.51 / $73.65 / $106.02 Bear / Base / Bull outcomes.**

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